

Guide to Indian Stock Market

What is Sensex?

The Sensex, also known as the BSE Sensex or Bombay Stock Exchange Sensitive Index, is a market index comprising 30 financially sound and well-established companies listed on the Bombay Stock Exchange. It is considered a barometer of the Indian stock market's performance.

Best Investment Plans in Stock Market

1. Long-term equity investments in blue-chip stocks
2. Mutual Funds (especially index funds and ELSS)
3. SIPs (Systematic Investment Plans)
4. ETFs (Exchange Traded Funds)
5. Diversified Portfolio Approach

Good Companies to Invest In (as of recent trends)

- Reliance Industries
- TCS (Tata Consultancy Services)
- Infosys
- HDFC Bank
- Hindustan Unilever

Note: Always do your own research or consult an advisor before investing.

Companies to Be Cautious About

- Companies with frequent regulatory issues

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- Penny stocks with little transparency
- Firms with high debt-to-equity ratio and consistent losses
- Recently listed IPOs with volatile earnings

Tip: Review financial statements and promoter track record before investing.

Major Stock Market Scams in India

1. Harshad Mehta Scam (1992): Manipulated stocks using bank receipts.
2. Ketan Parekh Scam (2001): Involved circular trading and insider manipulation.
3. Satyam Scam (2009): Falsification of accounts by company promoters.

These scams led to stronger regulatory oversight and reforms.

Stock Market Regulatory Body in India

The Securities and Exchange Board of India (SEBI) regulates the Indian stock markets. SEBI's responsibilities include protecting investor interests, regulating securities markets, and promoting fair practices.